

TOKENIZATION SYSTEMS

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U.S. Department of the Treasury
Attention: Office of the General Counsel
1500 Pennsylvania Avenue NW
Washington, DC 20220

Submitted via regulations.gov, Docket TREAS-DO-2026-0232

Re: GENIUS Act Broad-Based Principles for Determining Whether a State-Level Regulatory Regime Is Substantially Similar to the Federal Regulatory Framework (RIN 1505-AC90, 91 FR 16844)

Dear Office of the General Counsel:

The proposed principles address the central question for the dual Federal-State regime the GENIUS Act creates: how to evaluate whether fifty different State frameworks produce equivalent holder-protection outcomes across dozens of specific requirements. This comment addresses six areas where the principles could be strengthened, responsive to twenty-six of the NPRM's questions. The comment draws on two prior comment letters I submitted to the OCC on its GENIUS Act implementing rule (Docket OCC-2025-0372, [comment](#)), including a [supplemental letter](#) responding to the SEC Division of Trading and Markets staff statement of April 13, 2026 on Covered User Interface Providers. A supporting manuscript (Minimum Viable Equivalence Packs, SSRN id 6363138) develops these arguments at length and is available on SSRN and on the OCC docket.

I. The Substantially-Similar Assessment Would Benefit from a Standardized Diagnostic Framework

Responsive to Questions 4, 10, 12, 13

Treasury's proposed §1521.2(b)(1) requires that implementation of each State-calibrated requirement "leads to regulatory outcomes that are at least as stringent and protective as the Federal regulatory framework." Question 10 asks whether substantial similarity should be assessed on a section-by-section basis or a holistic basis. Question 13 asks whether "at least as stringent and protective" is the appropriate standard.

A standardized diagnostic framework, structured around functional dimensions of holder protection rather than statutory sections, would make the assessment more administrable and more consistent across States. I have developed and published such a framework: the Minimum Viable Equivalence Pack (MVEP), a ten-category diagnostic tool that evaluates tokenized financial instruments across rights parity, custody

treatment, settlement finality, insolvency posture, and six other dimensions including system of record, reconciliation, redemption mechanics, governance and change control, disclosure and monitoring, and collateral operability. The framework has been applied to nine tokenized dollar instruments currently live in institutional markets, spanning three regulatory tiers: banking law, the Investment Company Act of 1940, and state money transmission. The analysis demonstrates that instruments governed by different regulatory regimes produce materially different holder-protection outcomes on the same diagnostic dimensions, even when those instruments receive comparable collateral eligibility on the same institutional derivatives exchange, through the same custodian.

A category-by-category diagnostic assessment would evaluate each functional dimension of holder protection independently while preserving the ability to identify cross-cutting weaknesses that a section-by-section approach would miss. The analysis of these nine live instruments demonstrates that holder-protection failures cluster across multiple statutory sections simultaneously: rights parity, insolvency posture, and settlement finality tend to fail on the same instruments simultaneously, because a weak legal claim on reserves produces weak insolvency protection and uncertain settlement. A section-by-section assessment could approve a regime that passes each section individually but fails on the cross-cutting dimensions that matter most for holders.

On Question 4, the classification in Appendix A treats custody (section 10) and insolvency (section 11) outside the uniform/State-calibrated framework, addressing them only under §1521.5. The nine-instrument analysis demonstrates that custody arrangements and insolvency posture are among the three most consequential determinants of holder-protection outcomes (along with rights parity). If custody and insolvency are evaluated only under §1521.5's general consistency standard while reserves and capital are evaluated under §1521.3's "consistent in all substantive respects" standard, the specific gaps the MVEP framework identifies will persist across State regimes regardless of reserve adequacy. Those gaps include ambiguous legal claims that leave holders uncertain whether they have a statutory entitlement or a contractual right, custody arrangements that commingle assets from different regulatory regimes without disclosure, and insolvency priorities that may not be enforceable in State receivership proceedings.

On Question 12, the full Federal regulatory framework, not statutory text alone, is the appropriate baseline. The most consequential holder-protection gaps across today's nine live tokenized dollar instruments arise from operational choices that issuers and infrastructure providers make within the bounds of their statutory authorization, choices that the statutory text neither requires nor expressly prohibits. Circle restricting direct redemption to 1,834 verified accounts is an implementation choice. BUIDL's USDC-dependent redemption pathway is a product design choice. The collateral interoperability boundary on Binance is an exchange-level decision. A state-similarity assessment based solely on statutory text would miss all of these.

II. Reserve Transparency, Redemption, and Marketing Controls

Responsive to Questions 18, 21, 28, 29, 31, 32

The three-category reserve disclosure proposed in my supplemental OCC comment letter (legal claim, composition, location/custody) is relevant to the state-similarity assessment for the same reason it is relevant to the OCC's issuer-level rule: reserve transparency directly affects holder-protection outcomes, and differences in disclosure requirements across State regimes will produce divergent outcomes on the dimensions that matter most to holders. If the OCC adopts this disclosure in its final rule, it becomes part of the Federal regulatory framework against which State regimes are measured. If the OCC does not adopt it, Treasury could independently incorporate it into the principles for evaluating whether State regimes "meet or exceed" reserve transparency standards.

On Question 21, the three-category disclosure implies specific data fields that should be uniform across States for comparability. If each State defines its own format for the monthly reserve composition report, the Stablecoin Certification Review Committee's ability to compare across regimes is impaired. A standardized format, at minimum covering the holder's legal claim, reserve composition, and custodial identity and jurisdiction, would improve the assessment's administrability.

On Questions 31 and 32, the two-business-day redemption standard assumes the redemption pathway is functional. Circle suspended USDC primary-market redemptions from Friday evening March 10 through Monday morning March 13, 2023, a period during which the secondary market continued trading around the clock and the price fell to \$0.87. A two-business-day standard cannot protect holders when the redemption pathway itself is suspended for reasons outside their control. The MVEP analysis compounds this with a finding on BUIDL: its primary redemption pathway routes through Circle's USDC facility, meaning a BUIDL holder trying to exit during a USDC stress event redeems into the instrument that is depegging. States should adopt a timely redemption standard at least as protective as the OCC's, but the standard should also require disclosure of redemption pathway dependencies. A regime that satisfies the two-business-day requirement but does not require issuers to disclose when their sole redemption route depends on another tokenized instrument (as BUIDL's depends on USDC) leaves holders unable to evaluate whether the redemption pathway itself could fail under the same stress conditions that trigger the need to redeem. Redemption disclosures should include the identity and jurisdiction of the redemption counterparty and whether the redemption pathway depends on other tokenized instruments that could be impaired under stress.

On Question 18, section 4(e) (marketing and misrepresentations) should be included in the state-similarity assessment. The divergence between what holders believe they own and what they actually own is the single largest holder-protection gap across today's nine live tokenized dollar instruments. Tether's terms of service characterize the right to use its platform as a "revocable, limited licence" while characterizing the right to purchase or redeem Tether Tokens as "a contractual right personal to you," with liability disclaimers across seventeen enumerated categories including Tether's own negligent or misleading statements, third-party insolvency, and platform malfunction

(Tether Token Terms of Sale and Service, last updated February 26, 2026). Circle markets USDC as a dollar equivalent while restricting direct redemption to a small subset of verified accounts. Reserve disclosure without marketing controls addresses what the issuer holds but not what the issuer tells holders they own, which is where the most consequential misunderstanding occurs. A State regime that is "substantially similar" on every prudential dimension but that permits marketing practices leaving holders fundamentally misinformed about their actual legal position would fail on the dimension that matters most to holders at the point of transaction.

On Questions 28 and 29, States should be permitted to narrow the set of permissible reserve assets (narrowing strengthens holder protection) but not to expand it beyond what the OCC has approved. The SVB episode demonstrates the reserve composition risk: Circle's reserves included deposits at a single bank that failed. A State that prohibits any single custodial institution from holding more than a defined percentage of total reserves as uninsured deposits would be exceeding the Federal framework in a way that directly reduces the risk the March 2023 episode exposed. Permitting States to approve novel reserve assets independently would allow issuers to seek State licenses specifically because the State permits reserve assets the OCC has not approved, undermining the "meets or exceeds" standard by enabling issuers to hold riskier reserves under a State regime than would be permitted under the Federal framework.

III. Capital Adequacy, Operational Backstop, and Custodial Concentration

Responsive to Questions 36, 40, 44

On Question 36, the MVEP manuscript quantifies the capital gap under the Money Transmission Modernization Act. The minimum capital for a \$40 billion issuer operating as a money transmitter is approximately \$216 million, 0.54% of outstanding issuance, a ratio of approximately 22 to 1 between outstanding issuance and required minimum capital, before accounting for the additional protections (stress testing, deposit insurance, and resolution planning) that banking law imposes on federally chartered issuers and that the MTMA framework does not require of money transmitters. Any "minimal capital requirement based on a set percentage of outstanding issuance value" should produce outcomes at least as protective as the banking-law capital ratios that apply to federally chartered payment stablecoin issuers.

On Question 44, the MTMA capital gap is directly relevant to how historical capital levels under State regimes should be evaluated. Many States regulate stablecoin issuers as money transmitters under MTMA-based frameworks. The historical capital levels of money transmitters under those frameworks are the empirical evidence that MTMA capital requirements are inadequate for stablecoin issuance at scale. A State that adopted capital requirements based on its existing money transmitter framework would not meet or exceed the Federal regulatory framework.

On Question 40, the operational backstop should address custodial concentration risk in addition to total expenses. The SVB episode demonstrates that the relevant risk is not insufficient operating capital but excessive concentration of reserves at a single custodial institution. Circle's equity was approximately \$0.34 billion, representing, in the Federal Reserve's language, "just over a tenth" of the \$3.3 billion in reserves held as

uninsured deposits at Silicon Valley Bank, which itself represented approximately 8% of Circle's roughly \$40 billion in total USDC reserves at the time (Du, Sonawane, and Watsky, "In the Shadow of Bank Runs," Federal Reserve FEDS Notes, December 2025; Watsky et al., "Primary and Secondary Markets for Stablecoins," Federal Reserve FEDS Notes, February 2024). An operational backstop based solely on total expenses would not have prevented the March 2023 depeg because the problem was not that Circle lacked operating capital; the problem was that the potential loss at a single custodial institution exceeded the issuer's total equity by a factor of ten. The operational backstop should include a custodial diversification requirement specifying that no single custodial institution holds more than a defined percentage of total reserves.

IV. Activities That Defeat the Act's Protective Provisions

Responsive to Question 51

Question 51 asks whether a State qualified payment stablecoin issuer could engage in permissible activities that "functionally defeat the Act's protective provisions." The MVEP nine-instrument analysis includes an instrument that, while not itself a payment stablecoin under the Act, illustrates the structural risk that Question 51 is designed to address.

MakerDAO, which issues DAI (approximately \$5.4 billion outstanding as of early 2026) through an overcollateralized lending protocol rather than through the fiat-reserve model the Act contemplates, engages in lending, governance, and protocol management activities that are substantially larger than its stablecoin issuance function. DAI is backed by a complex mix of crypto-collateral, real-world assets, and the Peg Stability Module, with governance concentrated in MKR token holders who vote on collateral parameters that directly determine DAI holders' risk exposure, including which assets back DAI, at what debt ceilings, and how protocol surplus is allocated, decisions in which MKR holders' economic interests are not fully aligned with those of DAI holders. The MVEP analysis classifies DAI as the weakest instrument in the nine-instrument sample on multiple diagnostic dimensions (rights parity, insolvency posture, governance controls) precisely because the issuer's non-stablecoin activities introduce risks that DAI holders bear but cannot observe or control.

A State regime that licensed a similarly structured entity as a State qualified payment stablecoin issuer, permitting extensive non-stablecoin activities under section 4(a)(7)(B), could produce holder-protection outcomes that defeat the Act's protective provisions even if the regime is nominally compliant with every reserve, capital, and disclosure requirement. The analytical point generalizes: any fiat-reserve issuer that a State licenses under section 4(a)(7)(B) to engage in lending, governance, or protocol management alongside stablecoin issuance would face the same tension between activity-driven revenue and holder-focused reserve management that the DAI example illustrates. The reserve segregation and insolvency priority protections in the Act are designed to protect stablecoin holders from the issuer's other creditors with respect to reserve assets; they are not designed to protect holders from operational failures, governance capture, or reputational contagion arising from the issuer's non-stablecoin activities, any of which could impair the issuer's ability to maintain and redeem its

stablecoins even if reserves remain legally segregated and available for redemption.

Treasury should establish a principle that the Stablecoin Certification Review Committee may evaluate whether the aggregate scope of activities permitted under a State regime, when considered in combination with the Act's reserve segregation and insolvency priority provisions, could compromise the holder-protection outcomes the Act is designed to produce. Section 4(a)(7)(B) provides State discretion to authorize activities, but that discretion is constrained by the "meets or exceeds" standard. A State that exercises this discretion in a way that functionally defeats the Act's protections does not meet that standard regardless of its nominal compliance on individual provisions.

V. Insolvency, UCC Article 12, and Cross-Border Treatment

Responsive to Questions 6, 8, 17, 20, 68, 69

Three dimensions of holder protection depend on legal frameworks outside a State's direct control. The state-similarity assessment should account for each.

On Questions 68 and 69, the federal bankruptcy priority for stablecoin holders under section 11 (amending Section 507 of the Bankruptcy Code) operates through federal law. If a State qualified payment stablecoin issuer enters State receivership rather than federal bankruptcy, the holder's priority over other creditors with respect to reserve assets depends on whether the State receivership statute recognizes the federal priority, applies its own priority rules, or creates ambiguity about which rules govern, an uncertainty the Act does not resolve. States may be structurally unable to replicate this protection because they cannot amend the federal Bankruptcy Code. Treasury should acknowledge this limitation and provide guidance on how States can achieve substantially similar insolvency outcomes through State law mechanisms that produce the same practical result.

On Question 8, UCC Article 12 (controllable electronic records) creates a holder-protection issue that varies across States. The MVEP manuscript identifies a qualifying-purchaser defect: the "take-free" protection for purchasers of controllable electronic records fails when a thief is in the chain of title because the thief cannot be a "qualifying purchaser." States that have not enacted the 2022 UCC amendments, or that have enacted non-uniform versions, produce materially different holder-protection outcomes on this dimension. Treasury should consider whether a State's enactment status of UCC Article 12 is relevant to the substantial similarity assessment, particularly for the custody and insolvency provisions in proposed §§1521.5(d) and (e).

On Question 20, the two issues above illustrate a broader pattern: some portions of the Federal regulatory framework may be structurally unreplicable by States. Beyond the bankruptcy priority and Article 12, a third instance is the OCC's examination authority over nationally chartered custodians, which States cannot exercise because they lack jurisdiction over those institutions. The absence of a federal interface-layer framework creates a different problem: States can only exceed the federal framework on this dimension, not match it.

On Questions 6 and 17, the state-similarity assessment should consider how payment stablecoins function as infrastructure for other tokenized products, including those

issued under foreign regulatory regimes. Three of the nine instruments in the MVEP sample (USYC, BUIDL, and BENJI) are tokenized fund shares, not payment stablecoins, but all three depend on USDC for redemption liquidity or collateral settlement. When a payment stablecoin serves as the redemption pathway for tokenized securities issued across multiple jurisdictions, impairment of the stablecoin (as occurred during the March 2023 USDC depeg) propagates through every product that depends on it. A State regime that evaluates a payment stablecoin issuer's holder-protection outcomes without considering the issuer's role as redemption infrastructure for other products would miss a significant source of systemic interconnection. The state-similarity assessment should consider whether a State-licensed payment stablecoin issuer's dependencies on, or dependencies from, foreign-issued products create risks that the State regime does not address.

VI. Interface-Layer Conduct Standards as Additional State Requirements

Responsive to Questions 70, 71

Treasury's proposed §1521.6 permits States to impose additional requirements beyond the Federal regulatory framework. I recommend that Treasury explicitly recognize interface-layer conduct standards as a permissible and encouraged category of additional State requirements. The basis for this recommendation is the structural gap identified in my supplemental OCC comment letter: the SEC's April 13 staff statement on Covered User Interface Providers imposes twelve conduct conditions on interfaces facilitating crypto asset securities transactions but expressly excludes payment stablecoins from its scope. The OCC's proposed rule, the SEC's staff statement, and Treasury's proposed principles all address adjacent regulatory questions, but none addresses the interface layer for payment stablecoins. States that adopt conduct standards for interfaces facilitating stablecoin transactions, calibrated to the SEC's twelve conditions, would be addressing the interface-layer gap that the entire federal framework currently leaves open.

On Question 71, section 7(f)(4) of the Act provides that "nothing in this Act shall preempt State consumer protection laws, including common law, and the remedies available thereunder." Interface-layer conduct standards adopted by States could be characterized as consumer protection laws under this provision, which means they would be preserved from preemption even if a future federal interface-layer framework is adopted. Treasury should make this explicit in the final rule to encourage States to adopt interface-layer protections without concern that a subsequent federal regime would preempt them.

VII. Relationship to Prior Comment Letters

The six recommendations above are consistent with and extend the four recommendations in my OCC comment letter series (Docket OCC-2025-0372). The OCC letters address the issuer-level and interface-level regulatory framework; this comment extends that analysis to the state-similarity assessment. Treasury's choice to anchor the Federal regulatory framework definition primarily to the OCC's regulations means that any improvements adopted in the OCC's final rule will automatically strengthen the baseline against which State regimes are measured. The

recommendations in this comment are freestanding: each identifies a specific gap in the state-similarity assessment and proposes a mechanism to address it, regardless of whether the OCC adopts the specific proposals in my earlier letters.

I appreciate Treasury's consideration of these comments.

Respectfully submitted,

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